1. Intro to Economics

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Introduction to Economics

What Is Economics?

Economics is a social science that focuses on the production, distribution, and consumption of goods and services. The study of economics is primarily concerned with analysing the choices that individuals, businesses, governments, and nations make to allocate limited resources. Economics has ramifications on a wide range of other fields, including politics, psychology, business, and law.

Understanding Economics

Assuming humans have unlimited wants within a world of limited means, economists analyse how resources are allocated for production, distribution, and consumption.

The study of microeconomics focuses on the choices of individuals and businesses, and macroeconomics concentrates on the behaviour of the economy on an aggregate level.

One of the earliest recorded economists was the 8th-century B.C. Greek farmer and poet Hesiod who wrote that labour, materials, and time needed to be allocated efficiently to overcome scarcity. The publication of Adam Smith's 1776 book *An Inquiry Into the Nature and Causes of the Wealth of Nations* sparked the beginning of the current Western contemporary economic theories.1

Microeconomics

Microeconomics studies how individual consumers and firms make decisions to allocate resources. Whether a single person, a household, or a business, economists may analyse how these entities respond to changes in price and why they demand what they do at particular price levels.

Microeconomics analyses how and why goods are valued differently, how individuals make financial decisions, and how they trade, coordinate, and cooperate.

Within the dynamics of supply and demand, the costs of producing goods and services, and how labour is divided and allocated, microeconomics studies how businesses are organized and how individuals approach uncertainty and risk in their decision-making.

Macroeconomics

Macroeconomics is the branch of economics that studies the behaviour and performance of an economy as a whole. Its primary focus is recurrent economic cycles and broad economic growth and development.

It focuses on foreign trade, government fiscal and monetary policy, unemployment rates, the level of inflation, interest rates, the growth of total production output, and business cycles that result in expansions, booms, recessions, and depressions.

Using aggregate indicators, economists use macroeconomic models to help formulate economic policies and strategies.

What Is the Role of an Economist?